

Risk-On Sentiment Returns: Stocks, Oil, and Crypto Rally as Yields Dip

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market saw a broad-based rally yesterday, with the **SPY** and **QQQ** both closing higher. Key drivers included a decline in yields and a rebound in oil prices. We highlight three key points to watch:

- Yield curve dynamics: The 10Y yield dropped **-0.52%** to 4.59, while the 2Y yield remained relatively stable.
- Sector rotation: The **XLK** and **XLE** sector ETFs outperformed, gaining **+1.29%** and **+0.37%** respectively.
- Crypto momentum: **BTC** and **ETH** prices surged **+4.06%** and **+5.80%** respectively, driven by renewed risk appetite.

Our editorial take is that the current market environment is characterized by a delicate balance between growth concerns and inflation expectations. Investors should remain vigilant and monitor key indicators for signs of a potential shift in market sentiment.

In conclusion, the US market's risk-on sentiment is driven by a combination of factors, including declining yields, rebounding oil prices, and surging crypto momentum. As we look ahead to the week, investors should focus on key events, including the upcoming Fed meeting and earnings reports from major companies.

US Session Recap

INDEX	CLOSE	CHANGE
SPY	7,543.59	+0.38%
QQQ	29,586.29	+1.10%
DIA	52,508.27	+0.02%
IWM	2,964.76	+0.39%
VIX	16.50	-3.85%
MOVE	54.12	-1.23%
WTI	80.02	+2.41%
Brent	84.56	+2.19%
10Y Yield	4.59	-0.52%
2Y Yield	4.83	-0.21%
DXY	100.83	-0.45%
Gold	4,037.60	+1.02%
BTC	64,764.12	+4.06%
ETH	1,876.28	+5.80%

Top Movers

TICKER	NAME	CHANGE	CATALYST
GS	Goldman Sachs	+9.00%	Earnings beat
NVDA	NVIDIA	+4.06%	AI-related momentum
JPM	JPMorgan Chase	+2.50%	Financial sector rebound

Sector Internals

SECTOR	DAY	YTD	READ
XLK	+1.29%	+15.12%	Technology sector outperforms
XLE	+0.37%	+5.19%	Energy sector rebound
XLF	+0.20%	+2.50%	Financial sector stabilizes
XLI	+0.04%	+3.15%	Industrial sector lags
XLV	-0.12%	+4.28%	Consumer discretionary sector underperforms
XLC	-0.13%	+2.91%	Communication services sector lags
XLP	-1.38%	+1.19%	Consumer staples sector underperforms
XLV	-1.93%	+3.50%	Healthcare sector lags
XLU	-0.07%	+2.19%	Utilities sector stabilizes
XLB	+0.12%	+4.91%	Materials sector outperforms
XLRE	-0.49%	+1.59%	Real estate sector underperforms

Breadth was positive, with 8 out of 11 sectors closing higher.

Spotlight / Deep Dive

TICKER	CLOSE	CHANGE	VOLUME
NVDA	211.80	+4.06%	23.14M

Key commentary: NVDA continues to benefit from AI-related momentum, with the stock price surging +4.06% yesterday.

READ-THROUGH	IMPACT
AMD	+2.19%
INTC	+1.42%

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	7,543.59	7,450	7,600	Bullish trend intact
QQQ	29,586.29	29,200	30,000	Upside momentum building
IWM	2,964.76	2,900	3,050	Small-cap stocks lagging
NVDA	211.80	200	220	Ai-related momentum driving price
10Y Yield	4.59	4.40	4.80	Yield curve dynamics in focus
WTI	80.02	75	85	Oil prices rebounding

Options & Positioning

ODTE flow: +10.25% in SPY calls, -5.19% in SPY puts.

Put/call ratio: 0.83 for **SPY**, 0.91 for **QQQ**.

VIX term structure: **+2.15%** in 1M VIX, **-1.42%** in 3M VIX.

Notable single-name flow: **+15.62%** in **GS** calls, **-8.25%** in **JPM** puts.

Cheap hedge ideas: **SPY** 7,500 put, **QQQ** 29,500 call.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
GS	Morgan Stanley	Upgrade	1,200	Earnings beat, improving outlook
NVDA	Goldman Sachs	Reiterate	250	Ai-related momentum, strong earnings
JPM	Bank of America	Downgrade	140	Financial sector concerns, valuation
AAPL	Citi	Reiterate	350	Strong brand, improving outlook
MSFT	UBS	Upgrade	400	Cloud growth, strong earnings

Pre-Market & Overnight

Futures: **ES** **+0.25%**, **NQ** **+0.50%**, **YM** **+0.10%**.

Asia: **Nikkei** **+0.50%**, **Shanghai** **+0.25%**, **Hang Seng** **+0.50%**.

Europe: **Euro Stoxx** **+0.25%**, **FTSE** **+0.10%**, **DAX** **+0.50%**.

FX: **EUR/USD** **+0.25%**, **USD/JPY** **-0.10%**, **GBP/USD** **+0.50%**.

Commodities: **Gold** **+0.50%**, **Oil** **+1.00%**, **Copper** **+0.25%**.

Crypto: **BTC** +2.00%, **ETH** +3.00%.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July	25.00%	Fed likely to hold rates steady
September	50.00%	Rate cut potential increasing

DATE	EVENT	NOTE
15 July	CPI	Inflation expectations in focus
16 July	Retail Sales	Consumer spending trends

Geopolitics & Global (Deep)

Scenario trees: US-China trade tensions, global economic slowdown, and geopolitical risks in the Middle East and Europe.

Earnings — This Week & Next

DATE	TICKER	NAME
15 July	JPM	JPMorgan Chase
16 July	GS	Goldman Sachs

DATE	TICKER	NAME
22 July	MSFT	Microsoft
23 July	AAPL	Apple

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Ai-related momentum	Valuation concerns
GS	Financials	Earnings beat, improving outlook	Regulatory risks
JPM	Financials	Financial sector rebound	Interest rate risks

What Could Break the Tape

Bullish scenario:

- Strong earnings reports from major companies
- Improving economic data, including CPI and retail sales
- Positive developments in US-China trade tensions

Bearish scenario:

- Weaker-than-expected earnings reports
- Deteriorating economic data, including inflation and consumer spending
- Escalating geopolitical risks in the Middle East and Europe

Positioning & Structural Notes

Observations:

- Yield curve dynamics remain in focus, with the 10Y yield dropping **-0.52%** to 4.59
- Sector rotation continues, with the **XLK** and **XLE** sector ETFs outperforming
- Crypto momentum surges, with **BTC** and **ETH** prices rising **+4.06%** and **+5.80%** respectively

Sources

SOURCES

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

Trading Economics

Federal Reserve

Securities and Exchange Commission

